



Innovating at the edge since 1969



Zebra Technologies First Quarter 2019 Results

April 30, 2019

Safe Harbor Statement

Statements made in this presentation which are not statements of historical fact are forward-looking statements and are subject to the safe harbor provisions created by the Private Securities Litigation Reform Act of 1995. Actual results may differ from those expressed or implied in the company's forward-looking statements. Zebra may elect to update forward-looking statements but expressly disclaims any obligation to do so, even if the company's estimates change. These forward-looking statements are based on current expectations, forecasts and assumptions and are subject to the risks and uncertainties inherent in Zebra's industry, market conditions, general domestic and international economic conditions, and other factors. These factors include customer acceptance of Zebra's hardware and software products and competitors' product offerings, and the potential effects of technological changes. The continued uncertainty over future global economic conditions, the availability of credit, capital markets volatility, may have adverse effects on Zebra, its suppliers and its customers. In addition, a disruption in our ability to obtain products from vendors as a result of supply chain constraints, natural disasters or other circumstances could restrict sales and negatively affect customer relationships. Profits and profitability will be affected by Zebra's ability to control manufacturing and operating costs. Because of its debt, interest rates and financial market conditions will also have an impact on results. Foreign exchange rates will have an effect on financial results because of the large percentage of our international sales. The outcome of litigation in which Zebra may be involved is another factor. The success of integrating acquisitions could also affect profitability, reported results and the company's competitive position in its industry. These and other factors could have an adverse effect on Zebra's sales, gross profit margins and results of operations. Descriptions of the risks, uncertainties and other factors that could affect the company's future operations and results can be found in Zebra's filings with the Securities and Exchange Commission. In particular, please refer to Zebra's latest filing of its Form 10-K and Form 10-Q. This presentation includes certain non-GAAP financial measures and we refer to the reconciliations to the comparable GAAP financial measures and related information.

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Q1 Financials and 2019 Outlook

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Q&A

Anders Gustafsson, CEO | Olivier Leonetti, CFO | Joe Heel, SVP Global Sales

Q1 Financial Highlights

+9.1%

NET SALES
GROWTH

+7.9%⁽¹⁾ Organic

21.1%

ADJUSTED
EBITDA MARGIN

+20bps YOY Improvement

\$2.92

NON-GAAP
DILUTED EPS

+14% from 1Q18

Acquired

Temptime Corporation

Transaction closed February 21, 2019

⁽¹⁾ Assumes constant FX to prior year period and excludes revenue from acquisitions closed within the past 12 months

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First-Quarter P&L Summary⁽¹⁾

In millions, except per share data	1Q19	1Q18	Growth
Net Sales	\$1,066	\$977	+9.1%
Organic Net Sales Growth ^(2,3)			+7.9%
Adjusted Gross Profit	\$503	\$466	+7.9%
Adjusted Gross Margin	47.2%	47.7%	(50) bps
Adjusted EBITDA	\$225	\$204	+10.3%
Adjusted EBITDA Margin	21.1%	20.9%	+20 bps
Non-GAAP diluted EPS	\$2.92	\$2.56	+14.1%

ORGANIC SEGMENT SALES GROWTH^(2,3)

EVM Segment +11.6%

AIT Segment +1.2%

REGIONAL ORGANIC SALES GROWTH^(2,3)

North America +7%

EMEA +9%

Asia Pacific +12%

Latin America (3)%

EBITDA IMPROVEMENT

Operating expense leverage more than offset expected lower gross margin

SOLID EPS GROWTH

⁽¹⁾ Refer to the appendix of this presentation for reconciliations of GAAP to non-GAAP financial results

⁽²⁾ Assumes constant FX to prior-year period

⁽³⁾ Excludes revenue from acquisitions closed within the past 12 months

Balance Sheet and Cash Flow Highlights



Cash Flow

- \$27M free cash flow in 1Q19
- Higher use of working capital primary driver of \$71M lower free cash flow vs 1Q18
- Net borrowings of \$146M, primarily to fund the acquisition of Temptime



Liquidity and Debt

- \$61M in cash & cash equivalents as of 1Q19
- \$1.7B total debt on balance sheet as of 1Q19
- Net-debt-to-adjusted-EBITDA ratio of 1.9x

Outlook

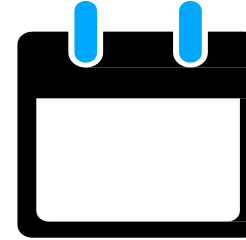


2Q19

- Net sales growth 7-9% vs. LY; assumes ~ 250-300 basis point additive impact from recently acquired businesses^(1,2) and ~ 50 basis point negative impact from FX
- Adjusted EBITDA margin range 20% to 21%
- Adjusted diluted EPS range \$2.80 to \$2.95

(1) Xplore Technologies was acquired on August 14, 2018.

(2) Temptime Corporation was acquired on February 21, 2019.



FY19 ASSUMPTIONS

- Net sales growth of 5-8% vs. 2018; assumes ~ 2 percentage point additive impact from recently acquired businesses^(1,2), and approximately ~ 50 basis point negative impact from FX
- Adjusted EBITDA margin range 21% to 22%
- Free cash flow of at least \$625M
- Capital expenditures ~ 1.5% of sales
- Depreciation ~ \$75-77M and Amortization ~ \$98-100M
- Stock-based compensation expense \$50-60M
- Pre-tax cost of debt ~ 4%
- Non-GAAP tax rate ~ 16% to 17%

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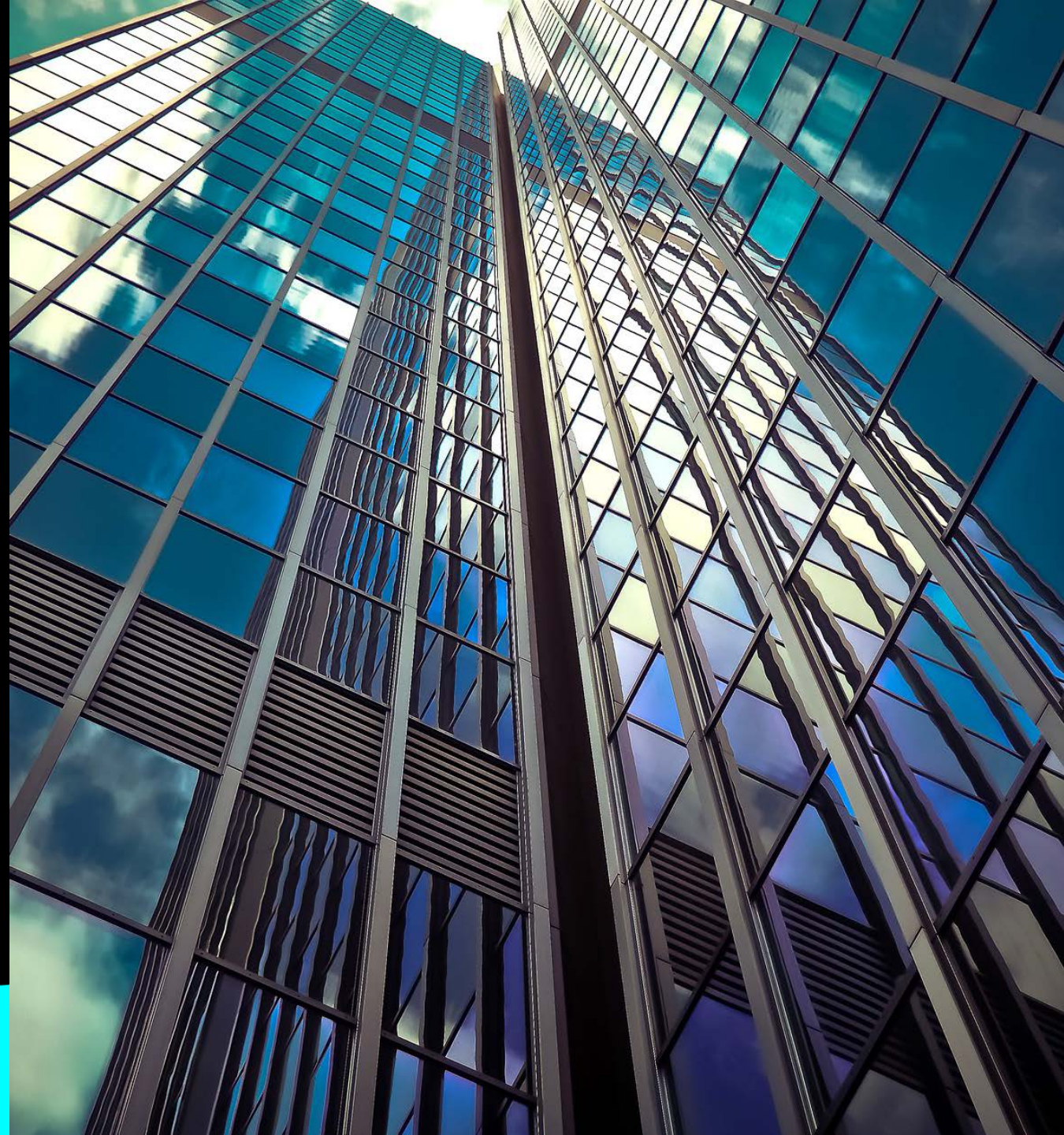
Strategic Focus

Extend Leadership in **Core Markets**,
Outpacing the Competition

Drive Growth in Attractive
Adjacent Markets

Advance **Enterprise Asset
Intelligence** Vision

Enhance **Financial Strength** and
Flexibility



Zebra Enables Enterprise Asset Intelligence

SENSE

ANALYZE

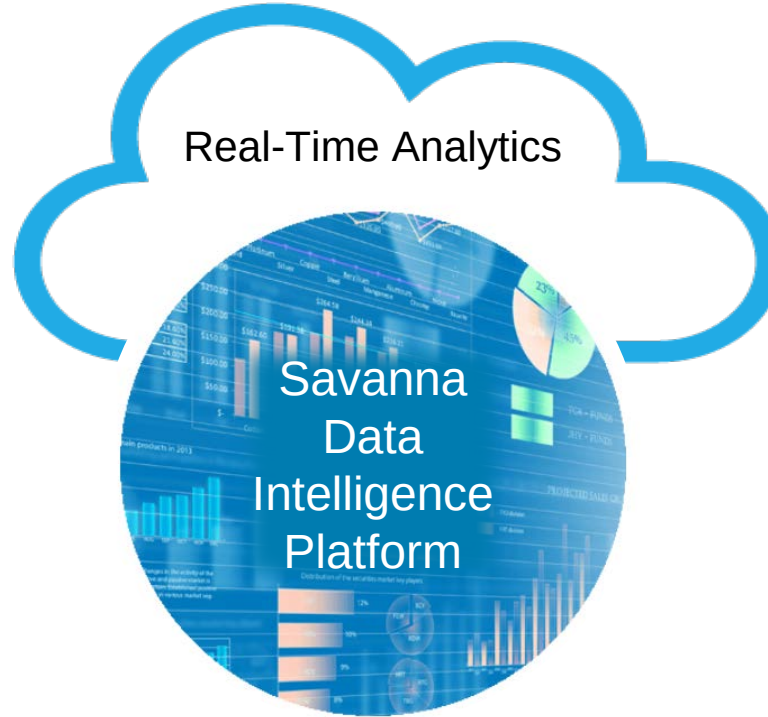
ACT

Status | Condition | Location



Real-Time Analytics

Savanna
Data
Intelligence
Platform

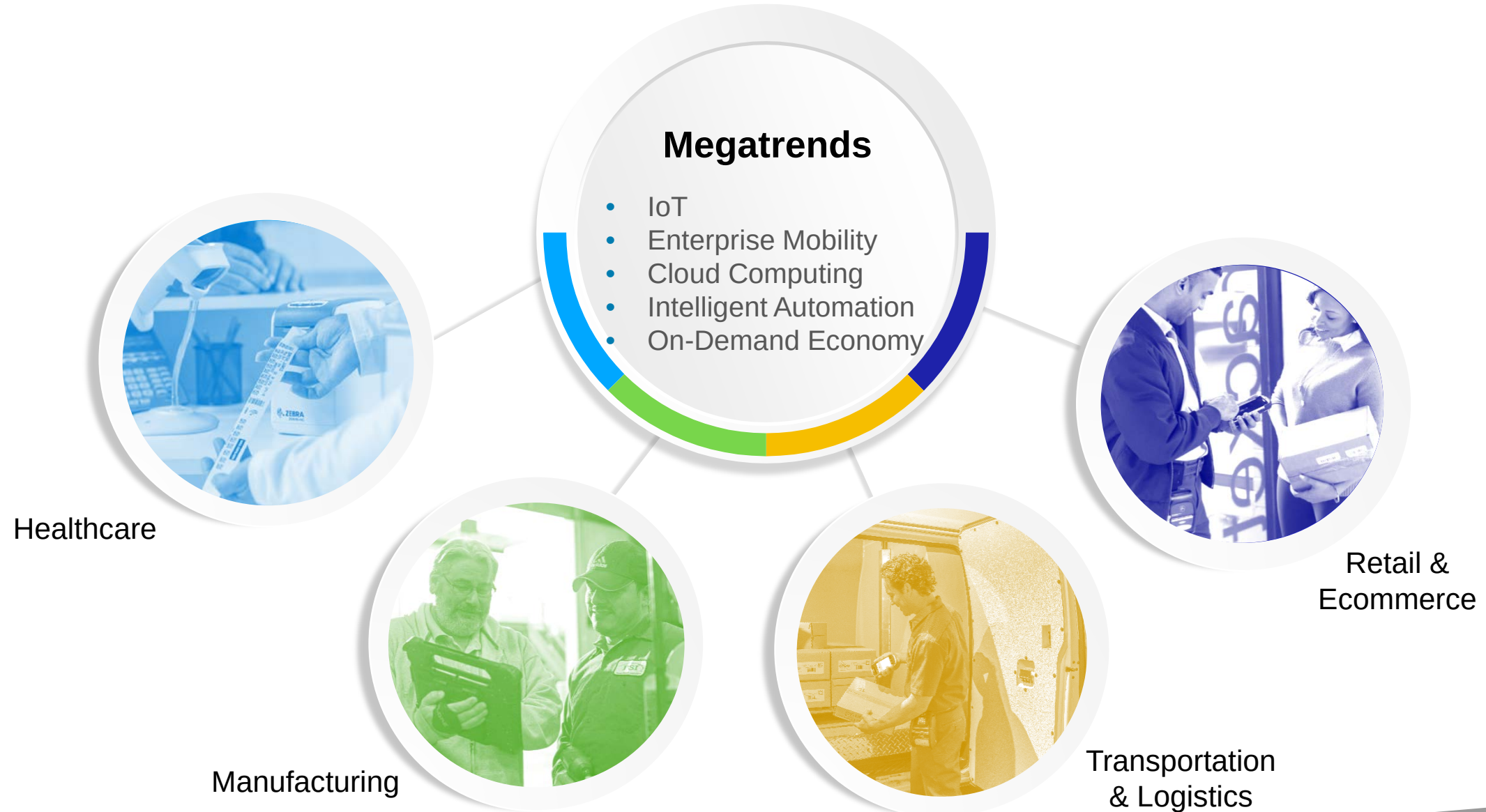


Apply Insight to Enable the
Best Next Move



Our Competitive Differentiation = Hardware + Software + Cloud

Enabling Enterprise Visibility at the Enterprise Edge



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Q & A

Appendix

Use of Non-GAAP Financial Information

This press release contains certain Non-GAAP financial measures, consisting of “adjusted net sales,” “adjusted gross profit,” “EBITDA,” “Adjusted EBITDA,” “Non-GAAP net income,” “Non-GAAP earnings per share,” “free cash flow,” “organic net sales growth,” and “adjusted operating expenses.” Management presents these measures to focus on the on-going operations and believes it is useful to investors because they enable them to perform meaningful comparisons of past and present operating results. The company believes it is useful to present Non-GAAP financial measures, which exclude certain significant items, as a means to understand the performance of its ongoing operations and how management views the business. Please see the “Reconciliation of GAAP to Non-GAAP Financial Measures” tables and accompanying disclosures at the end of this press release for more detailed information regarding non-GAAP financial measures herein, including the items reflected in adjusted net earnings calculations. These measures, however, should not be construed as an alternative to any other measure of performance determined in accordance with GAAP.

The company does not provide a reconciliation for non-GAAP estimates on a forward-looking basis (including the information under “Outlook” above) where it is unable to provide a meaningful or accurate calculation or estimation of reconciling items and the information is not available without unreasonable effort. This is due to the inherent difficulty of forecasting the timing or amount of various items that have not yet occurred, are out of the company’s control and/or cannot be reasonably predicted, and that would impact diluted net earnings per share, the most directly comparable forward-looking GAAP financial measure. For the same reasons, the company is unable to address the probable significance of the unavailable information. Forward-looking non-GAAP financial measures provided without the most directly comparable GAAP financial measures may vary materially from the corresponding GAAP financial measures.

As a global company, Zebra’s operating results reported in U.S. dollars are affected by foreign currency exchange rate fluctuations because the underlying foreign currencies in which the company transacts change in value over time compared to the U.S. dollar; accordingly, the company presents certain organic growth financial information, which includes impacts of foreign currency translation, to provide a framework to assess how the company’s businesses performed excluding the impact of foreign currency exchange rate fluctuations. Foreign currency impact represents the difference in results that are attributable to fluctuations in the currency exchange rates used to convert the results for businesses where the functional currency is not the U.S. dollar. This impact is calculated by translating, for certain currencies, current period results at the currency exchange rates used in the comparable period in the prior year, rather than the exchange rates in effect during the current period. In addition, the company excludes the impact of its foreign currency hedging program in both the current year and prior year periods. The company believes these measures should be considered a supplement to and not in lieu of the company’s performance measures calculated in accordance with GAAP.

GAAP to Non-GAAP Organic Net Sales Growth Reconciliation

	Three Months Ended		
	March 30, 2019		
	AIT	EVM	Consolidated
Reported GAAP Consolidated Net sales growth	1.4 %	13.4 %	9.1 %
Adjustments:			
Impact of foreign currency translation ⁽¹⁾	1.0 %	0.8 %	0.9 %
Impact of acquisition ⁽²⁾	(1.2)%	(2.6)%	(2.1)%
Organic Net sales growth	1.2 %	11.6 %	7.9 %

- (1) Operating results reported in U.S. dollars are affected by foreign currency exchange rate fluctuations. Foreign currency translation impact represents the difference in results that are attributable to fluctuations in the currency exchange rates used to convert the results for businesses where the functional currency is not the U.S. dollar. This impact is calculated by translating, for certain currencies, the current period results at the currency exchange rates used in the comparable prior year period, rather than the exchange rates in effect during the current period. In addition, we exclude the impact of the company's foreign currency hedging program in both the current and prior year periods.
- (2) For purposes of computing Organic Net sales, amounts directly attributable to the Xplore acquisition (included in our consolidated results beginning August 14, 2018) and the Temptime acquisition (included in our consolidated results beginning February 21, 2019) will be excluded for 12-months following the acquisition date.

GAAP to Non-GAAP Gross Margin Reconciliation

	Three Months Ended					
	March 30, 2019			March 31, 2018		
	AIT	EVM	Consolidated	AIT	EVM	Consolidated
<u>GAAP</u>						
Reported Net sales	\$ 357	\$ 709	\$ 1,066	\$ 352	\$ 625	\$ 977
Reported Gross profit ⁽¹⁾	184	318	501	183	282	465
Gross Margin	51.5%	44.9%	47.0%	52.0%	45.1%	47.6%

Non-GAAP

Adjusted Net sales	\$ 357	\$ 709	\$ 1,066	\$ 352	\$ 625	\$ 977
Adjusted Gross profit ⁽²⁾	184	319	503	183	283	466
Adjusted Gross Margin	51.5%	45.0%	47.2%	52.0%	45.3%	47.7%

(1) Fiscal 2019 consolidated results include corporate eliminations related to business acquisitions that are not reported in segment results.

(2) Adjusted Gross profit excludes purchase accounting adjustments and share-based compensation expense.

GAAP to Non-GAAP Net Income Reconciliation

	Three Months Ended	
	March 30, 2019	March 31, 2018
Net income	\$ 115	\$ 109
Adjustments to Cost of sales ⁽¹⁾		
Purchase accounting adjustments	1	—
Share-based compensation	1	1
Total adjustments to Cost of sales	2	1
Adjustments to Operating expenses ⁽¹⁾		
Amortization of intangible assets	28	23
Acquisition and integration costs	4	2
Share-based compensation	12	10
Exit and restructuring costs	1	4
Total adjustments to Operating expenses	45	39
Adjustments to Other expenses, net ⁽¹⁾		
Amortization of debt issuance costs and discounts	1	2
Investment loss	1	—
Foreign exchange loss	3	—
Forward interest rate swaps loss/(gain)	8	(12)
Total adjustments to Other expenses, net	13	(10)
Income tax effect of adjustments ⁽²⁾		
Reported income tax expense	16	24
Adjusted income tax	(31)	(25)
Total adjustments to income tax	(15)	(1)
Total adjustments	45	29
Non-GAAP Net income	\$ 160	\$ 138
GAAP earnings per share		
Basic	\$ 2.14	\$ 2.04
Diluted	\$ 2.12	\$ 2.01
Non-GAAP earnings per share		
Basic	\$ 2.96	\$ 2.59
Diluted	\$ 2.92	\$ 2.56

(1) Presented on a pre-tax basis.

(2) Represents adjustments to the GAAP income tax expense commensurate with pre-tax non-GAAP adjustments and to exclude the impacts of certain discrete income tax items.

GAAP to Non-GAAP EBITDA Reconciliation

	Three Months Ended	
	March 30, 2019	March 31, 2018
Net income	\$ 115	\$ 109
Add back:		
Depreciation	19	20
Amortization of intangible assets	28	23
Total Other expenses, net	28	11
Income tax expense	16	24
EBITDA (Non-GAAP)	206	187
Adjustments to Cost of sales		
Purchase accounting adjustments	1	—
Share-based compensation	1	1
Total adjustments to Cost of sales	2	1
Adjustments to Operating expenses		
Acquisition and integration costs	4	2
Share-based compensation	12	10
Exit and restructuring costs	1	4
Total adjustments to Operating expenses	17	16
Total adjustments to EBITDA	19	17
Adjusted EBITDA (Non-GAAP)	\$ 225	\$ 204
Adjusted EBITDA % of Adjusted Net Sales	21.1%	20.9%

GAAP to Non-GAAP Free Cash Flow Reconciliation

	Three Months Ended	
	March 30, 2019	March 31, 2018
Net cash provided by operating activities	\$ 42	\$ 116
Less: Purchases of property, plant and equipment	(15)	(18)
Free cash flow (Non-GAAP) ⁽¹⁾	<u>\$ 27</u>	<u>\$ 98</u>

- (1) Free cash flow is defined as Net cash provided by operating activities in a period minus purchases of property, plant and equipment (capital expenditures) made in that period. This measure does not represent residual cash flows available for discretionary expenditures as the measure does not deduct the payments required for debt service and other contractual obligations or payments for future business acquisitions. Therefore, we believe it is important to view free cash flow as a measure that provides supplemental information to our entire statements of cash flows.